

Just Because Someone Has the Title "Director" Doesn't Make Them One Under CAMA

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It's common in Nigerian companies for senior employees to carry the title "Director" without ever having gone through a formal appointment process. That title inflation is usually harmless — until someone tries to exercise a director's statutory powers, invoke a director's legal protections, or a third party relies on the title in a transaction. At that point, the difference between being called a director and being one under the Companies and Allied Matters Act (CAMA) 2020 matters a great deal.

Three — and Only Three — Routes to Becoming a Director

Section 269(1) of CAMA defines a director as a person duly appointed by the company to direct and manage its business — the operative word being duly appointed. Subject to Section 271, Sections 272 to 274 set out the only three lawful routes to that appointment: under Section 272, naming as a first director by the subscribers to the memorandum and articles of association; under Section 273, election or appointment by members at an annual general meeting; or, under Section 274, appointment by the existing Board to fill a casual vacancy arising from death, resignation, retirement or removal (subject to ratification by members at the next AGM, failing which the appointment lapses). The Supreme Court confirmed this framework, under the equivalent provisions of the earlier Companies and Allied Matters Act 1990 — Sections 247, 248 and 249, and the definition of "director" in Section 650 of that Act — in *Longe v. First Bank of Nigeria Plc* (2010) LPELR-1793(SC), and the Court of Appeal did the same, referencing Sections 244(r), 246 and 248 of the 1990 Act, in *Oloyede & Ors v. Roberts & Anor* (2015) LPELR-41001(CA), holding that the combined effect of these provisions "leaves no one in doubt as to the mode and manner by which an appointment of a director of a company can be made." Those older section numbers now correspond to Sections 269 and 271–274 of CAMA 2020.

Anyone occupying a director-sounding role without having been appointed through one of these three routes is not a director within the meaning of the Act — regardless of job title, business card, or internal reporting structure — and cannot invoke the statutory powers or protections CAMA reserves for directors.

The Third-Party Protection Runs the Other Way

Where an outside party is dealing with the company, the position is different. Section 269(2) creates a rebuttable presumption in favour of anyone dealing with the company that a person the company describes as a director — executive or otherwise — has been duly appointed. If a company holds an individual out as a director (or as a managing director) and a third party relies on that in good faith during a transaction, the company can be estopped from later denying that person's authority, even if the internal appointment paperwork was never properly done. In *Nwankwo v. Kay-Kay Construction Ltd* (2014) LPELR-24336(CA), the Court of Appeal held an engineer to be a director "in fact (de facto) and law (de jure)" of the respondent company purely because he had occupied the office of Managing Director, acted as such, and was held out by the company as its Managing Director during the transaction in question — even though his name never appeared on the company's statutory particulars filed with the Corporate Affairs Commission.

The factors courts weigh when deciding whether someone has been genuinely held out as a director include: whether there is a validly executed letter of appointment from the Board; whether the individual attends board meetings; and whether the individual receives notices of board meetings. Absent an affirmative answer to those questions, an individual carrying the title alone will not be treated as a director for the purpose of exercising CAMA's director-specific powers.

One Director Isn't a Board

It's also worth noting that CAMA's provisions contemplating action "by the Board of Directors" — such as filling a casual vacancy — presuppose at least two directors acting collectively. In *DYS Trocca Valessia Ltd & Ors v. Sanyaolu & Ors* (2016) LPELR-40423(CA), interpreting Section 249(1) of the 1990 Act (now Section 274 of CAMA 2020), the Court of Appeal held that what the relevant provision contemplates "is a situation where there are at least two directors to form a board," and that "there cannot be a Board of Directors made up of one director." A single director, however appointed, cannot constitute a board and cannot exercise powers the Act reserves to the Board acting as such.

Why This Matters in Practice

The distinction has teeth in at least three situations: a person purporting to exercise director-level authority (approving related-party transactions, signing on the company's behalf, invoking the statutory duty-of-care defence for business decisions) who was never properly appointed has no statutory basis for doing so, whatever their title; a company that wants to hold someone accountable to the higher statutory duties CAMA imposes on directors — under Section 305(3), acting at all times in the company's best interests so as to preserve its assets and further its business, and under Section 308(1), exercising the powers and duties of office honestly, in good faith, and with the care, diligence and skill a reasonably prudent director would exercise, with Section 308(2) making a failure to do so a ground for an action in negligence — needs that person to actually be a director in law for those duties to bite in the way the Act intends — and even a validly appointed director cannot invoke those sections to justify conduct that breaches the company's own policies; and third parties dealing with the company in good faith are protected by how the company has held the individual out, which means loose use of the "Director" title carries real downstream risk even where no formal appointment was ever intended.

The Practical Takeaway

Companies that use "Director" as a job title for senior managers who have not gone through a Section 272–274 appointment should be deliberate about it: either formalise the appointment properly if genuine director status and authority is intended, or be consistent internally and externally about the fact that the title reflects seniority rather than statutory office — since third parties are entitled to rely on how the company presents the person, whatever the internal reality is.

A note on currency of the law

CAMA 2020 remains the governing statute for company directorship in Nigeria, and the appointment routes, the Section 269(2) presumption, and the case law on holding-out described here are unchanged.

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